WARRANTY ATLAS · Tennessee (TN)

Law last amended: 2021 (eff. 2021-07-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-11-02

Cites: Tenn. Code Ann. § 55-17-121; Tenn. Code Ann. § 55-17-114(c)(18) (license ground); Tenn. Code Ann. § 55-17-117 (civil penalty, injunction); Tenn. Comp. R. & Regs. 0960-01-.03 (claims, audits, parts retention); Tenn. Comp. R. & Regs. 0960-01-.04 (computation of warranty charges); Tenn. Comp. R. & Regs. 0960-01-.05 (labor-rate request response)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 55-17-121(b); paid hours: Tenn. Comp. R. & Regs. 0960-01-.04
Mfr-backed service contract	**Not addressed**	-	§ 55-17-121(d)(1)
CPO warranty	**Not addressed**	-	§ 55-17-121(d)(2)(A)
Independent service contract	**Not addressed**	-	§ 55-17-121(c)

Hourly rate: The warranty hourly rate may not be less than 'the dealer's retail labor rate for similar repairs' unless the manufacturer shows the Motor Vehicle Commission that the rate is 'improper in light of all economic circumstances'. The dealer may not charge more than its posted retail labor rate. Dealers file sworn labor-rate statements with the commission. The 100-RO/90-day submission in (d)(2)(C) covers parts markup only.

Audit fields

Field	Rule	Pinpoint
Claim decision	60 days; late claim deemed approved: Yes. Written notice to the dealer, within 60 days of receipt, that the claim is rejected and the reason. Approved or deemed-approved claims must be paid 'promptly' (no day count).	Tenn. Comp. R. & Regs. 0960-01-.03(1)(a)
Payment	Silent. Dealer filing deadline: Within 30 days after the warranty repair or service is completed.	
Chargebacks	12 months; fraud: None stated (rule has no fraud exception). MVC rule (not statute): warranty and sales-incentive claims may be reviewed, audited and disallowed only within 12 months after payment and only for good cause. After a 'full and fair' incentive audit, the chargeback is reduced by any different payment or ben…	Tenn. Comp. R. & Regs. 0960-01-.03(1)(a)-(b)
Rate resubmission	Silent. Sample: No statutory labor-rate sample. Excluded: none listed.	§ 55-17-121(b); see (a), (c), (d)(2)(C)
Mfr response	30 days; no response = approved: no rule in statute. Challenge: Manufacturer must show the Commission the dealer's retail labor rate is 'improper in light of all economic circumstances'. Forum: Tennessee Motor Vehicle Commission.	§ 55-17-121(b)
Penalties	None express for warranty pay in Part 1; parts-markup denial may be appealed to the Commission (§ 55-17-121(d)(2)(C)(ii)). Civil penalty $100-$5,000 per day or per act of violation (§ 55-17-117(a)); Commission may deny/suspend/revoke a manufacturer's license for unfair discrimination among franchisees in warranty reimbursement (§ 55-17…	Tenn. Code Ann. §§ 55-17-114(c)(18), 55-17-117
Audit procedures	Audit climate score 7/100 (Low restrictiveness; chargeback limits 7/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(Tenn. Comp. R. & Regs. 0960-01-.03(1)(a)): "All such claims for warranty repairs or servicing properly submitted shall be deemed approved and shall be promptly paid, unless within sixty (60) days after such claims are received"*

Chargebacks *(Tenn. Comp. R. & Regs. 0960-01-.03(1)(a)-(b)): "may, within twelve (12) months after the payment of a warranty claim, review its action, audit the submitting dealer's records and disallow the claim for good cause."*

Rate *(§ 55-17-121(b); see (a), (c), (d)(2)(C)): "In no event shall a manufacturer or distributor pay to its dealers a labor rate per hour for warranty repairs or servicing less than the dealer's retail labor rate for similar repairs"*

Factory time *(§ 55-17-121(b); paid hours: Tenn. Comp. R. & Regs. 0960-01-…): "In no event shall a manufacturer or distributor pay to its dealers a labor rate per hour for warranty repairs or servicing less than the dealer's retail labor rate for similar repairs"*

Notes

Official code is Lexis-only; statute text read from Justia 2025 (history line confirms no amendment after 2021). The statute has no claim deadlines, deemed approval, audit window or chargeback limits; those come from Motor Vehicle Commission Rule 0960-01-.03 (claims, 12-month audit window, parts retention). Rule .04 sets paid hours (manual hours plus actual diagnostic hours) and Rule .05 a 30-day written response to labor-rate requests. Rules read on Cornell LII and Justia (current through 6/26/2025); the official SOS rules PDF (rev. 9/15/2025) returned 403, and the notice for that revision cites only rule .14 (license fees). § 55-17-114(c)(12)'s 'reasonable time' rule covers prior-model-year inventory payments only.

Source: mirror · https://law.justia.com/codes/tennessee/2025/title-55/chapter-17/part-1/section-55-17-121/ (mirror; official T.C.A. is L… · Confidence: medium. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.